ANGEL ONE

Q3FY22 Result Update | BFSI

Excellent Results, Growth Intact

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

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Angel One(formerly known as Angel Broking) has reported extremely strong numbers in Q3'22, beat our expectations on revenue from operations front and profitability.

Performance matches stellar Q2'22 performance. Client addittion continuing to tran`slate into revenue growth a positive.

- Revenue from operations came in at INR 5,973 Mn, 95.0% YoY/13.0%QoQ above our expectation of INR 5,681 Mn.
- Other Income came in at INR 98 Mn, 11.0% YoY/ (9.6%) QoQ
- Total Income came in at INR 6,071 Mn, 92.4% YoY/12.8%QoQ above our expectation of INR 5,791 Mn.
- EBDAT came in at INR 2,256 Mn, 106.0% YoY/22.6% QoQ above our expectation of INR 1,980 Mn .
- PAT came in at INR 1,646 Mn, 125.0% YoY/ 22.6% QoQ above our expectation of INR 1,500 Mn. .
- EPS stood at INR 19.9 vs INR 8.9 / INR 16.2 in YoY / QoQ respectively.

Financial and Operational Highlights

- Gross Broking Income saw a strong growth at INR 4,150 Mn (88.0% YoY/15.3% QoQ), interest income too showed stellar growth at INR 986 Mn (124.0% YoY growth,10.0%QoQ) and other operating income came in at INR 936 Mn(85.3% YoY/5.4% QoQ).
- 13,37,000 (162.0% YoY/4.7% QoQ) clients added in this quarter, taking total client base to 7.8Mn(144.5% YoY/20.0% QoQ).

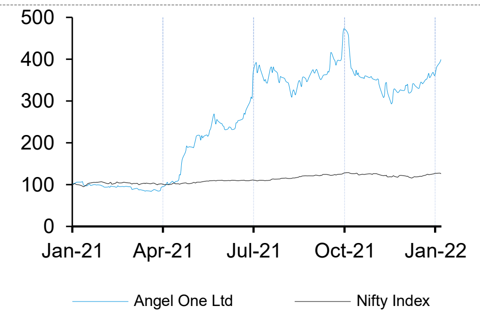
Rating	TP (Rs)	Up/Dn (%)
HOLD	1,508	9

Market data

Current price	**Rs**	**1,381**
Market Cap (Rs.Bn)	(Rs Bn)	114
Market Cap (US$ Mn)	(US$ Mn)	1,540
Face Value	Rs	10
52 Weeks High/Low	Rs	1,689 / 282
Average Daily Volume	('000)	1,553
BSE Code		543235
Bloomberg		angelone.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	43.68	43.77
Public	56.32	56.23
Total	**100**	**100**

Source: Bloomberg

Financial Summary

Y/E Mar(Rs Mn)	FY19	FY20	FY21	FY22E	FY23E
Income from Operations	7,580	7,246	12,637	18,474	25,048
Total Income	7,841	7,547	12,990	18,806	25,396
Operating Profit	1,433	1,565	4,458	8,407	12,754
Net Profit	834	868	2,970	5,400	8,598
Net Worth	5,314	5,914	11,310	15,359	21,807
EPS(Rs)	12	12	37	66	105
growth(%)	(24.0)	4.1	208.0	78.0	59.0
P/E(X)	115.0	115.0	37.0	20.0	13.0
ROA(%)	3.6	3.9	8.5	10.9	14.6
ROE(%)	16.6	15.5	34.6	40.5	46.3

Source: Dalal & Broacha Research

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- Market share maintained in retail F&O turnover, retail equity turnover, gains in cash market share and very strong market share gain in commodity turnover. F&O market share at 20.9% (+480 bps YoY/ (40) bps QoQ), overall equity market share at 20.9% (+480 bps YoY/ (30) bps QoQ). Dip of market share on a YoY basis was seen in cash market share due to implementation of peak margin norms but QoQ saw a slight uptick and came in at 14.2% ((340) bps YoY/ +20 bps QoQ) and commodity market share saw very strong gains at 36.4% (+960 bps YoY/ +870 bps QoQ).
- No of trades which determines Angel's revenue has seen excellent growth and came in at 329Mn (+100.6% YoY/+14.4% QoQ) trades for the quarter Q3

Client addition numbers continues to be strong, on a high base which is a big positive. Cient activation rate has increased to 39% in Q3'22 from 37% in Q1'22 which is a big positive.

Valuation and outlook

Capital market participation is extremely low in India. Angel One is a well-established player and is on the path to become a leading Intech company. Although the company will continue to face competition, it's used technology in an impressive way to achieve scale. Company is using product innovation to improve overall client experience and have also managed to increase client activation rate from 37% in Q1'22 to 39% in Q3'22.

Angel has beaten our expectation in client addition, but we are not making major upgrades in our revenue estimates as new clients will not immediately start contributing to revenue . Angel Broking has reported an extremely strong set of numbers, showing strong YoY growth and also managing to better the growth shown in Q2'22 on both revenue and profitability front. For FY22 we have increased our estimates on closing client base to 8.8 million clients from 8.2 million earlier.

Stock has already rallied 286% from our in initiation levels of INR 357. Although a lot of positives are in the price, this set of numbers gives us confidence about the growth trajectory of the company and we remain positive both from short term and long term perspective.

But due to significant price appreciation from our initiation levels **we change our rating from 'BUY' to 'HOLD' and maintain our target price of INR 1,508** valuing the stock at 22.0x FY22E EPS and 14.0x FY23E EPS.

Highlights of the Conference Call

Performance for the quarter

- Angel Broking performance because of digital capability, able to penetrate tier 2 and tier 3 cities because of the app.
- See lot of potential for further growth as equity penetration is a low.
- Steady growth in demat accounts in India has reached 81 Mn as on December'21

Super App

- Company had made this announcement in Q4'21, progress in line, app will be launched by the end of financial year
- App is in Beta phase will be launched by March/April.

Product Innovation done in the quarter

- New machine learning forecasting model to improve quality of client acquisition
- Optimized various Machine Learning models for activation. Company has built a new propensity model for F&O and MTF segment activations, has yielded results client activation up to 39% from 37%.
- Upgraded KYC journey by improving optical character recognition and also introduced stylus signature for account opening, has pioneered bank account verification by using mobile number
- Average conversion rate for account opening has improved to 40.5% from 30.7% due to these steps.

Impact of cyclicality on the business

- Not a major impact on revenue seen when markets correct as past history shows no of trades do not reduce when market falls.
- F&O contribution in broking revenue stands at 74%, followed by cash at 22% and commodities at 3%. F&O contribution to revenue up from 69% in Q2'22

Client Mix and Client Addition Run Rate

- Millennials and young generation form a major chunk, median age reduced to 29 in Q3'22 from 30 in Q4'21.
- 92% of gross client added under flat fee tariff plan up from 90% in Q4'21 and 8% under traditional plan. <2 year old clients contribute 75% of net broking income up from 74% in Q1'22, lifecycle of customer improving, older customers are trading more.
- Company is confident of maintaining client addition run rate of 1 million clients per quarter even during down cycles.

Dividend Policy

- Company in Q4'21 had stated that it is confident of generating cash flows and since it is an asset light business models, company plans to give 35% of the profit each year as dividend spread over 4 quarters as a reward to shareholders, has done it this quarter and approved a 3rd interim dividend of ₹ 7.00 per equity share.

Strategy Going Forward

- Company's main aim is to increase market share across segments in broking in next 2-3 years and eventually become a full-fledged platform based fintech company. AMC business should be up and running in next 6-7 quarters. Super app which will cross sell other products also will be launched by March-April and should contribute to distribution revenue.

Quarterly Financials

P&L Rs Mn	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22
Revenue from Operations	**2,384**	**3,099**	**3,068**	**4,086**	**4,627**	**5,273**	**5,973**
Other Income	82	81	88	102	118	108	98
Total Income	**2,466**	**3,179**	**3,156**	**4,188**	**4,745**	**5,382**	**6,071**
Total Expenses	1,820	2,183	2,111	2,765	3,123	3,588	3,863
EBDAT	**696**	**1,043**	**1,093**	**1,463**	**1,663**	**1,839**	**2,256**
PBT	**646**	**996**	**1,045**	**1,423**	**1,622**	**1,794**	**2,208**
Tax	164	251	313	404	408	451	562
PAT	**483**	**746**	**732**	**1,019**	**1,214**	**1,343**	**1,646**
EPS	**7**	**10**	**9**	**12**	**15**	**16**	**19**
Market Share(%)							
Retail F&O Turnover Market Share	8	12	16	21	23	21	21
Retail Cash Turnover Market Share	17	18	18	16	14	14	14
Retail Commodity Turnover Market Share	25	28	27	26	26	28	36
Retail Equity Turnover Market Share	8	12	16	21	23	21	21
Other Parameters							
Net Client Addition(Number)	3,39,573	5,39,567	4,92,000	9,60,000	12,04,000	12,77,000	13,37,000
Total Client Base(Mn)	2.15	2.69	3.19	4.12	5.3	6.5	7.8
EBDAT Margin(%)	28	33	35	35	35	34	37
PAT Margin(%)	20	23	23	24	26	25	27
Cost to Income(%)	74	69	67	66	66	67	64
Overall ADTO (bn rupees)	619	1281	2261	3753	4547	5790	6346
Cash ADTO (bn rupees)	58	69	61	69	60	50	51
F&O ADTO (bn rupees)	511	1,129	2,120	3,599	4,394	5,642	6,764

Source: Dalal & Broacha Research, Company

Financials

P&L (Rs Mn)	FY20	FY21	FY22	FY23
Income from operations	7,246	12,637	18,474	25,048
Other Income	301	353	332	348
Total Income	7,547	12,990	18,806	25,396
Opex	6,359	8,878	11,597	13,917
Operating Profit	1,565	4,458	8,407	12,754
Provisions	377	346	1,198	1,275
PBT	1,188	4,112	7,209	11,479
Tax	320	1,142	1,809	2,881
PAT	**868**	**2,970**	**5,400**	**8,598**

Ratios (%)	FY20	FY21	FY22	FY23
Growth				
Income	(4.0)	72	45	35
Operating profit	9	185	89	52
Net profit	4	243	81	59
Client Base	41	126	114	45
Returns				
ROA	3.9	8.5	10.9	14.6
ROE	15.5	34.6	40.5	46.3

BS (Rs Mn)	FY20	FY21	FY22	FY23
Capital	720	818	818	818
Other Equity	5,194	10,492	14,541	20,989
Borrowings	4,909	11,715	13,472	15,493
Trade Payables	9,395	22,764	18,474	25,048
Provisions	67	91	185	250
Tax Liabilities	0	121	2	3
Other Liabilities	1,616	2,138	3,336	4,611
Total	**21,902**	**48,138**	**50,828**	**67,212**
Cash	6,132	5,878	9,523	24,829
Balances with Banks	8,003	12,897	14,171	15,574
Trade Receivables	390	2,277	924	1,252
Investments	353	55	55	55
Loans	2,806	11,285	11,982	12,748
Fixed Assets	1,039	1,004	904	814
Other Assets	3,179	14,742	13,268	11,941
Total	**21,902**	**48,138**	**50,828**	**67,212**

Operational Data	FY20	FY21	FY22	FY23
Operational Client Base(millions)				
Opening Balance	1.29	1.82	4.12	8.85
Gross Adds	0.56	2.35	4.74	3.9
Churn	0.03	0.05	0.01	0.03
Closing Balance	**1.82**	**4.12**	**8.85**	**12.8**
Brokerage Income (millions)	5,039	11,407	17,780	24,139
Brokerage Income per Operational (	2,769	2,769	2,010	1,900

Source: Dalal & Broacha Research, Company

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